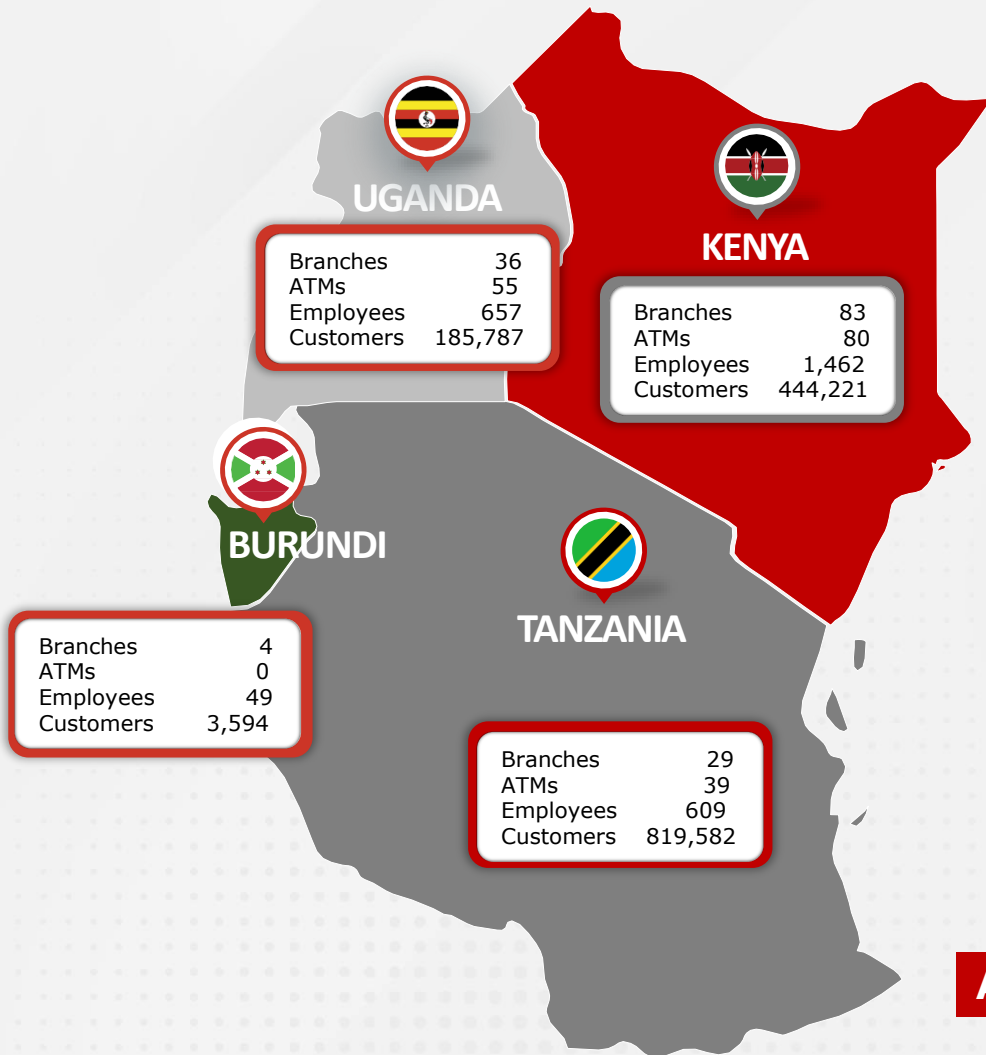




Rooting for
sustainable growth



Customers



1,453,184

65.7%



Branches



152

13.4%



ATMs



174

12.3%



Employees



2,777

9.4%



Assets KShs 635Bn

▲ 20.5%

Core Capital KShs 75Bn

▲ 9.3%

Net Profit KShs 7.8Bn

▲ 14.7%

WE EMBARKED ON A NEW STRATEGIC JOURNEY FROM 2022

Informed by

Our purpose

To improve the quality of lives of all our stakeholders in a sustainable and impactful way.

Our vision

Enabling people to advance with confidence and success.

Our mission

To make our customers prosper, our staff excel and create value for our stakeholders.

Customer reach

- 10 million customers banking with DTB across East Africa by 2026
- Achieve geographical and demographical relevance



Sustainability excellence

To be a sustainability excellence practitioner and thought leader

Digital transformation

Become a technology company with a banking license

Our strengths



Visionary Leadership



Strong relationships



Customer service obsession

OUR STRATEGIC FOCUS IS BEGINNING TO PAY OFF

Mining new and existing ecosystems

Traditional sectors

- Trade
- Real Estate
- Manufacturing
- Transport
- Tourism

Focus Ecosystems

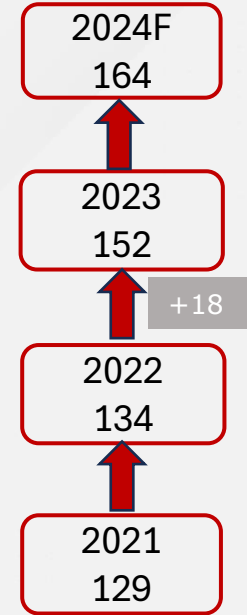
- ✓ Education
- ✓ Agriculture
- ✓ Technology

Customer Reach

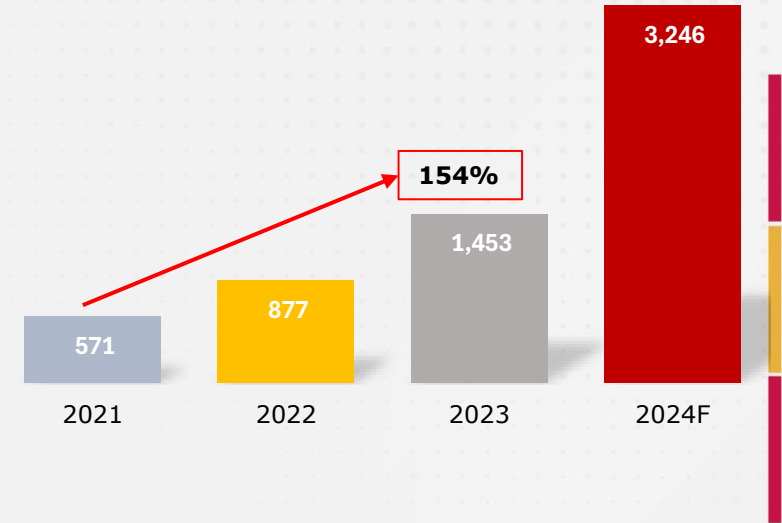


Leveraging branches for customer acquisition & retention

Accelerated growth in the first 2-years of strategy implementation



Number of Customers '000'



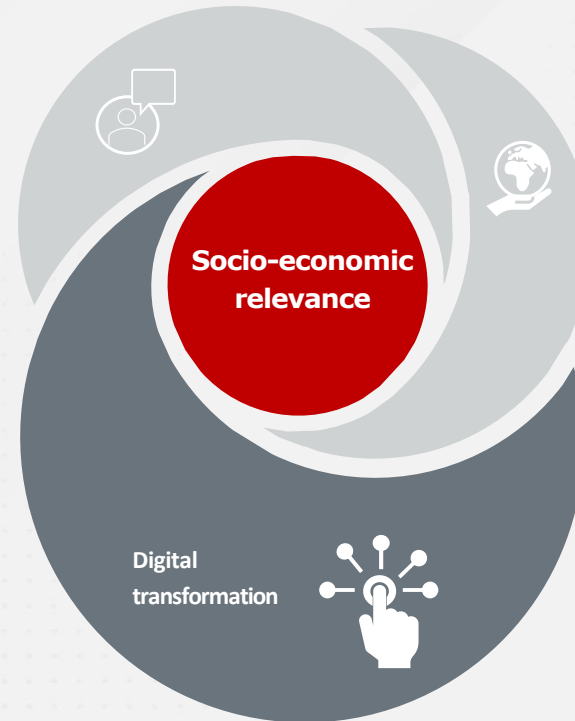
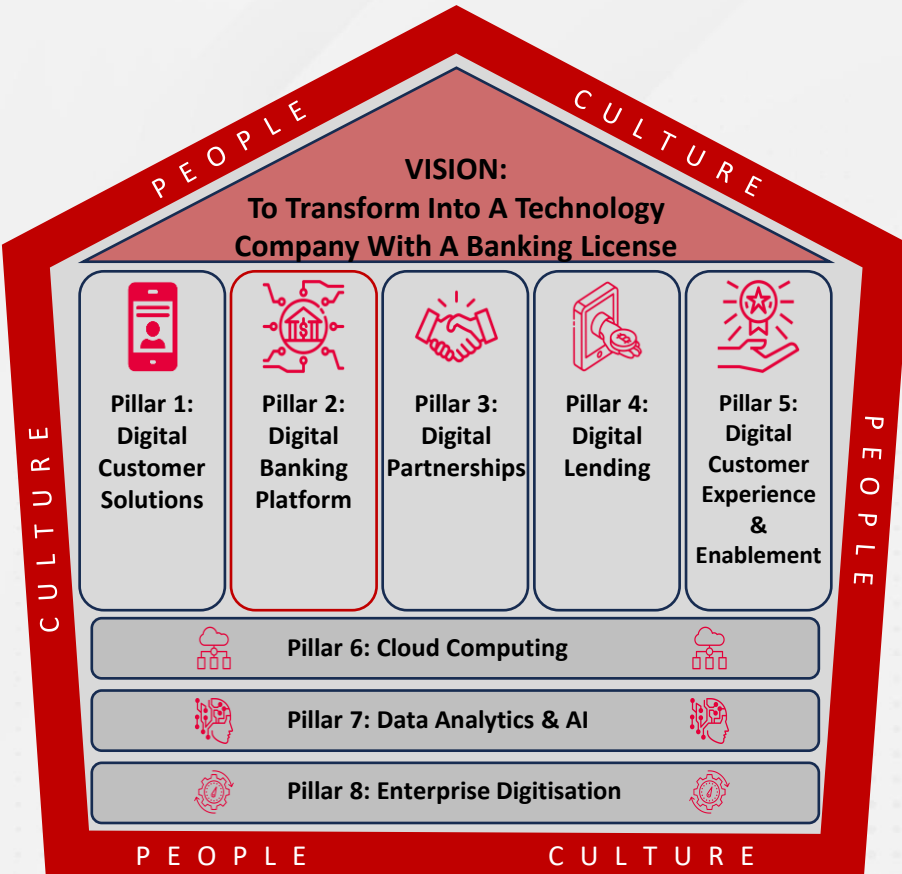
- ✓ **Ecosystem approach** to customer and business growth
- ✓ Building CVPs for Agriculture and Education ecosystems in 2023

- ✓ Acquire 20% of customers through branches and digitally acquired and serviced ecosystems
- ✓ Reposition branches to sales & advisory hubs

Growing the numbers & elevating the experience

NPS	CSAT
2023 – 53	2023 – 91%
2022 – 47	2022 – 89%

Digital Transformation



80% of New to Bank Customers to be acquired digitally

2023 Outcomes

- Expanded the Digital IT team by 75%
- 99.67% uptime on critical banking platforms
- Resourced and build a data team of engineers, scientist and analyst to harness the Big Data opportunities.
- Established a digital factory to spur inhouse and collaborative digital innovations.
- Launched Infinite Lite, a payment & collection solution, InfinitiPay a banking App for SMEs
- Digital onboarding of customers in 15 minutes
- Launched Astra Banking as a service – a platform that enables tech-enabled companies to integrate and break down traditional tech-enabled services into discrete products.
- Onboarded 8 FinTech companies on Astra platform
- Enhanced use of AI for business intelligence and for continuous understanding our customers.

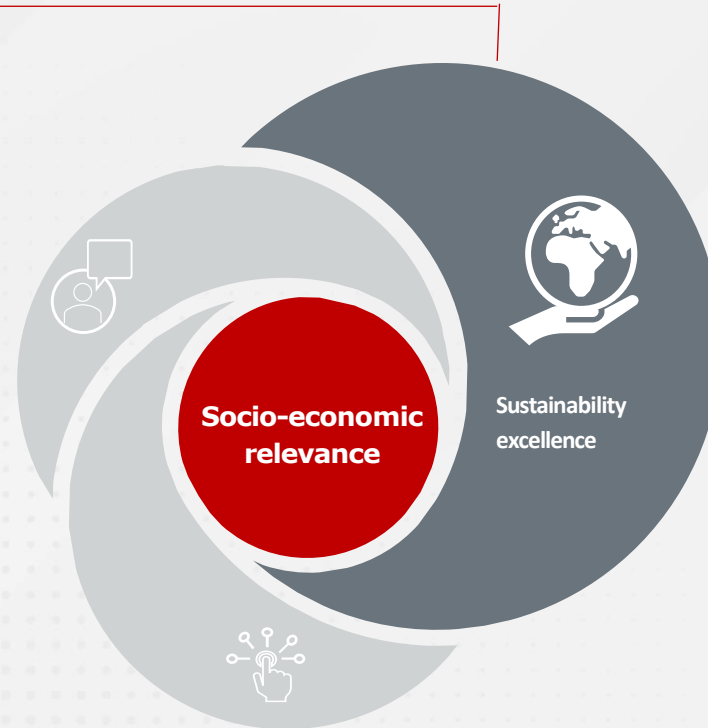
2024 targets

- ✓ Build a digital credit platform that will enable us to digitise all aspects of consumer lending.
- ✓ Launch a digital banking platform with enhanced mobile and digital banking capabilities
- ✓ Scale up the ASTRA BaaS proposition by onboarding additional Tech-enabled partners

Sustainability pillars

- Climate action and net-zero (Stage1&2) strategy
- Sustainability financing
- Responsible supply chain
- Employee well being & development
- Partnerships
- Citizenship

Sustainability Excellence



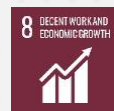
Significant progress in our first year of implementation of our Sustainability Masterplan

- Installed 300KW solar panels at DTB Centre which supply 14% of the building's power needs (KShs 3.7 million in power bill savings)
- DTB Centre level 2 EDGE certified
- Recycled 8 tons of paper used in our operations since 2019, 2.6 tons of electronic waste disposed through an E-waste management solutions.
- 4100 MSMEs trained in 4 financial literacy and enterprise development programmes
- AchieveMoreGirl - 5800 girls in Kenya & Tanzania trained on menstrual health & given reusable sanitary towels.
- Planted and grew 37,034 trees
- 22% of staff donated 1500hrs in 43 citizenship initiatives across the group.

What we are doing in 2024

- ✓ Solar installation and edge certification for other DTB owned buildings in Kenya and Tanzania.
- ✓ Introduce sustainable finance product
- ✓ Increase the size of the green portfolio
- ✓ Plant and grow 500,000 trees in 2024

11 Adopted SDGS



THE PEOPLE PILLAR: OUR TALENT STRATEGY

2023 milestones and highlights

**63**

Graduate Management Trainees

DTBX

Established the DTBX innovation centre as a workspace that encourages innovation

87 Students

University students job shadowed bank employees for two weeks in August 2023

70 Interns

Embedded in different departments and branches

Bank-wide culture change workshops to support our strategic growth agenda

**5**

Financial well-being sessions for staff

 **50-50**

Gender-balanced workforce

4

Physical wellbeing sessions/events

**10**

social wellbeing events for staff

**Zero**

Reported workplace fatalities

**299**

Unionised staff in 2023



Free app-based online healthcare for staff in partnership with Antara Health Services

32 training hours

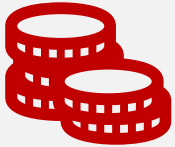
per employee

on average*239 new hires**

Talent acquisition focused on strengthening our control functions and equipping our IT/digital teams with the skills required to take our strategy forward

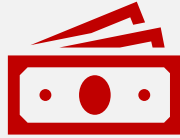
WHAT DOES THE STRATEGY MEAN FOR THE BOTTOM-LINE?

2023 GROUP FINANCIAL PERFORMANCE SUMMARY



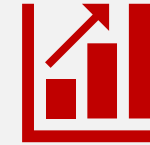
Operating Income (NII + Fees)

KES 39.7 billion ▲ 24%



Operating Costs

KES 20.5 billion ▲ 38%



Profit Before Tax

KES 9.0 billion ▼ 6%

Profit After Tax

KES 7.8 billion ▲ 15%



Customer Advances **KES 308.5 billion** ▲ 22%

Customer Deposits **KES 486.1 billion** ▲ 25%



Total CAR

16.1%

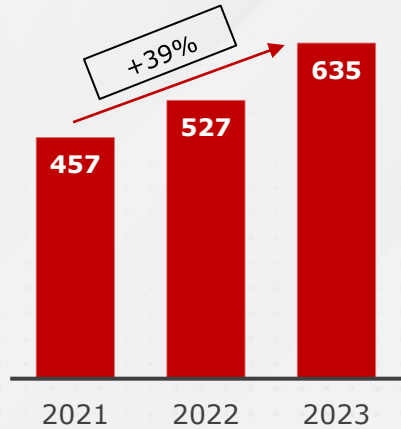


Earnings per Share

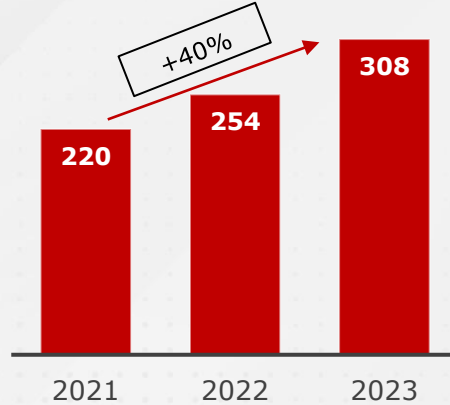
KES 24.60 ▲ 13%

GROUP BALANCE SHEET

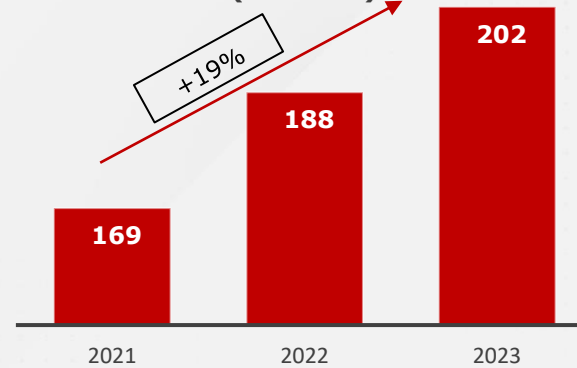
Total assets (KShs Bn)



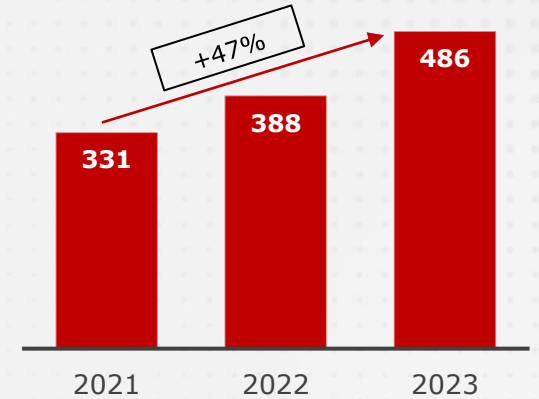
Net Loans & Advances (KShs Bn)



Investment in government securities (Kshs Bn)



Customer deposits (KShs Bn)



Key Indicators

	FY23	FY22	FY 21	Change
Asset Deposit Ratio	63.5%	65.5%	67.0%	(200bps)
Liquidity Ratio	48.5%	58.2%	61.6%	970bps
NPL Ratio	13.0%	11.4%	12.3%	160bps
Coverage Ratio	40.7%	44.2%	39.4%	(480bps)
Total Capital/Total Risk Weighted Assets	16.1%	18.5%	19.6%	(240bps)

▪ **Asset growth anchored on a solid deposit base**

- Low-cost deposits (CASA) constituted 49.2% mainly sourced from retail and SMEs segments.
- Customer advances growth is supported by improved private sector credit demand across the region.

▪ **Increase in Non-Performing Loans reflects;**

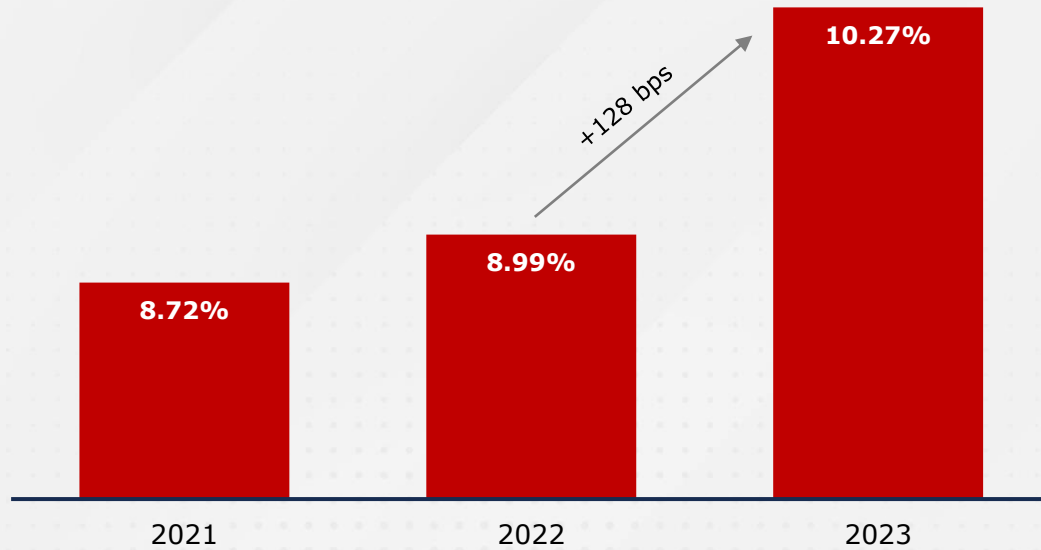
- KShs 2.4 billion translation impact of FCY denominated accounts.
- A few large ticket exposures downgraded to non-performing status.
- Prevailing heightened credit risk environment exacerbated by the rising global yield curve and tight liquidity conditions.

▪ **Liquidity & Capital**

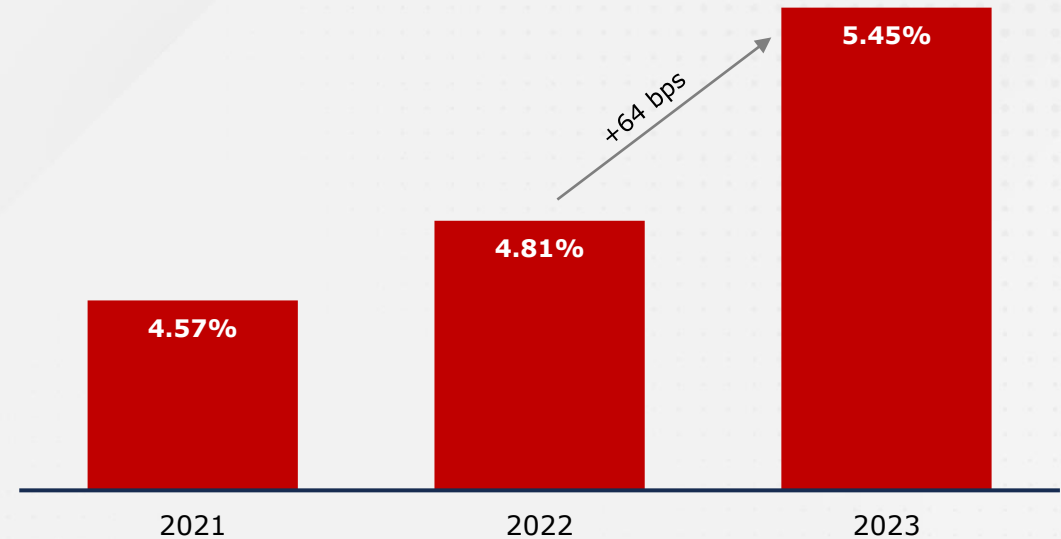
- Strong deposit growth keeping liquidity is well above the regulatory thresholds.
- Drop in CAR attributed to growth in risk weighted assets as well as USD 50 million repayment of Tier II capital (Subordinated debt).

DTBK YIELDS AND COST OF FUNDS

Yield on Loans

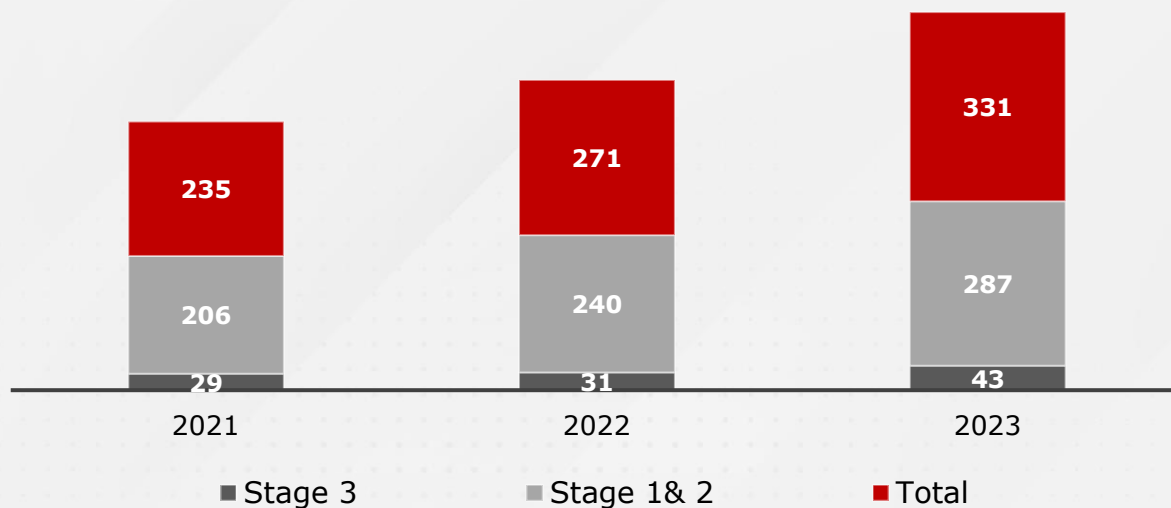


Cost of Deposits

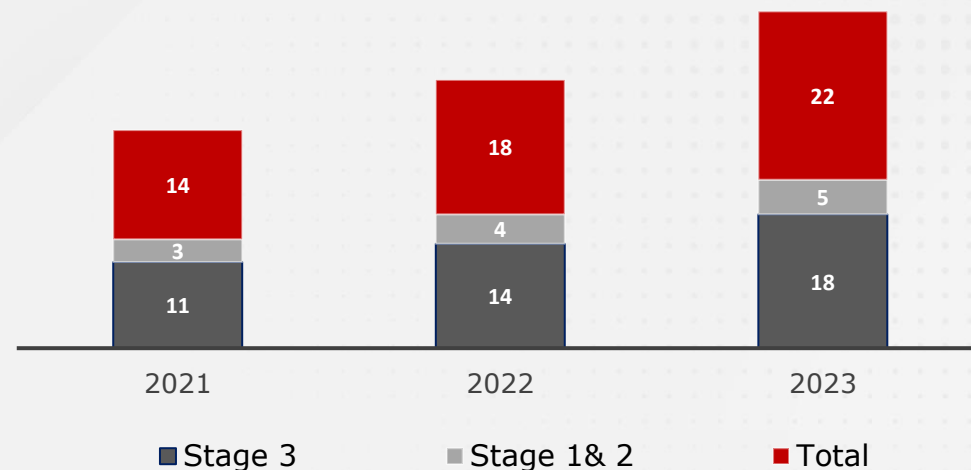


- ❑ Yield on loans rose following adjustments in lending rates in line with the Central Bank's monetary policy stance; Increased LCY lending
- ❑ Increase in cost of deposits reflects the surge in yields on G-secs, heightened competition for funds among banks
- ❑ Target to reduce the cost of deposits to below 4.0% by 2026 by focusing on mobilizing low-cost deposits (increased CASA ratio)

Loan classification (KShs Billion)



Provisions (KShs Billion)

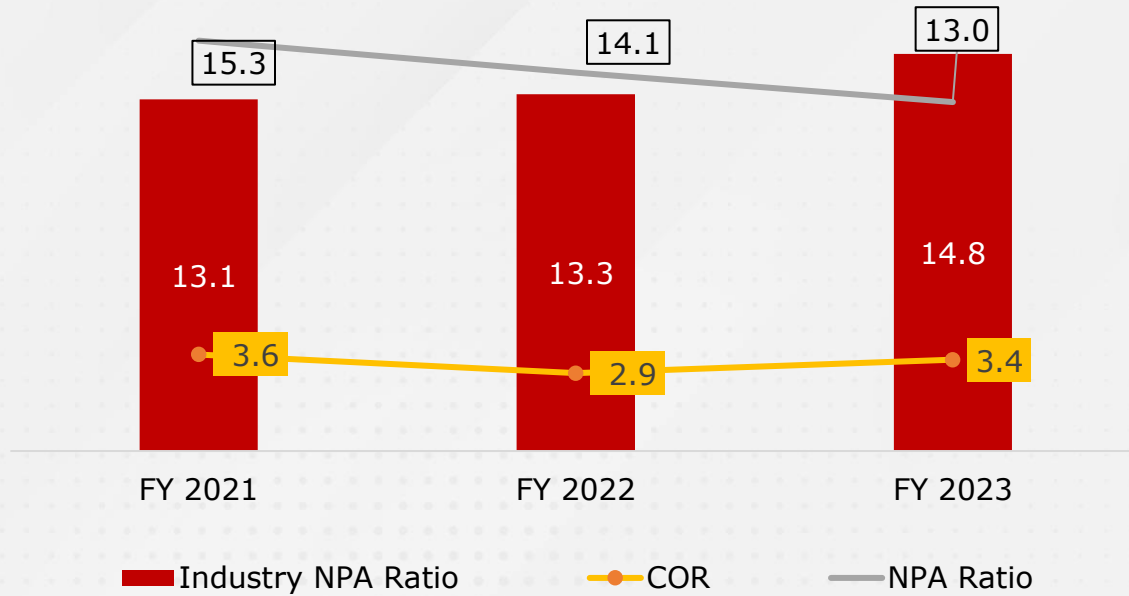


NPL Concentration - Group Dec 2023			
Percent Contribution	Amount KShs '000'	Number of Accounts Contributing	Percentage Contribution
< 1%	6,105,436	533	14%
>1%<10%	13,399,637	20	31%
>10%	23,626,427	4	55%
Grand Total	43,131,500	557	

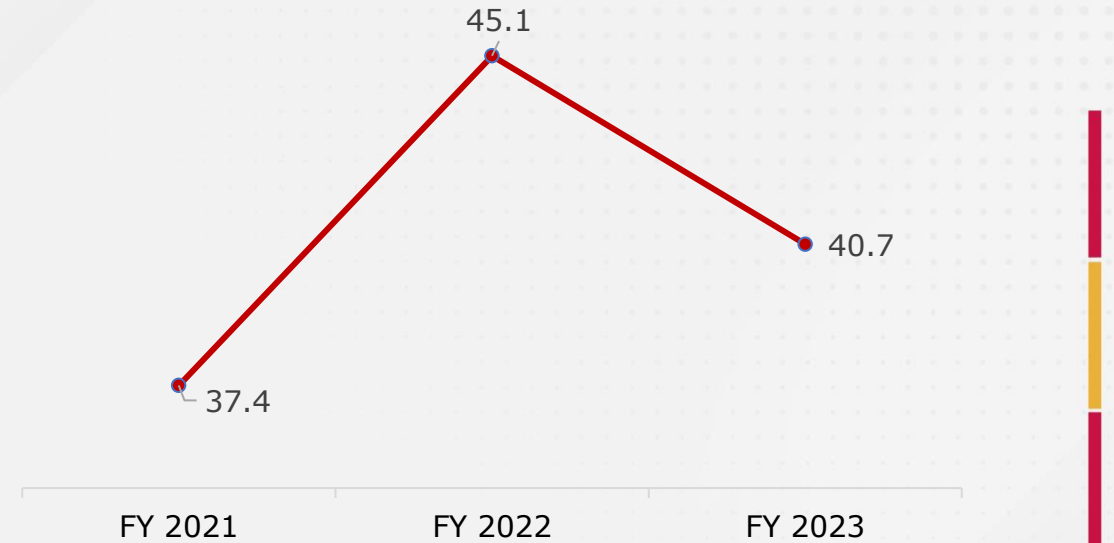
- ❑ NPL distribution concentrated on few accounts with 24 names accounting for 86% of the total NPLs.
- ❑ Foreign exchange volatility partially accountable for the growth in NPL ratio.

NON-PERFORMING LOANS & COVERAGE RATIOS- GROUP

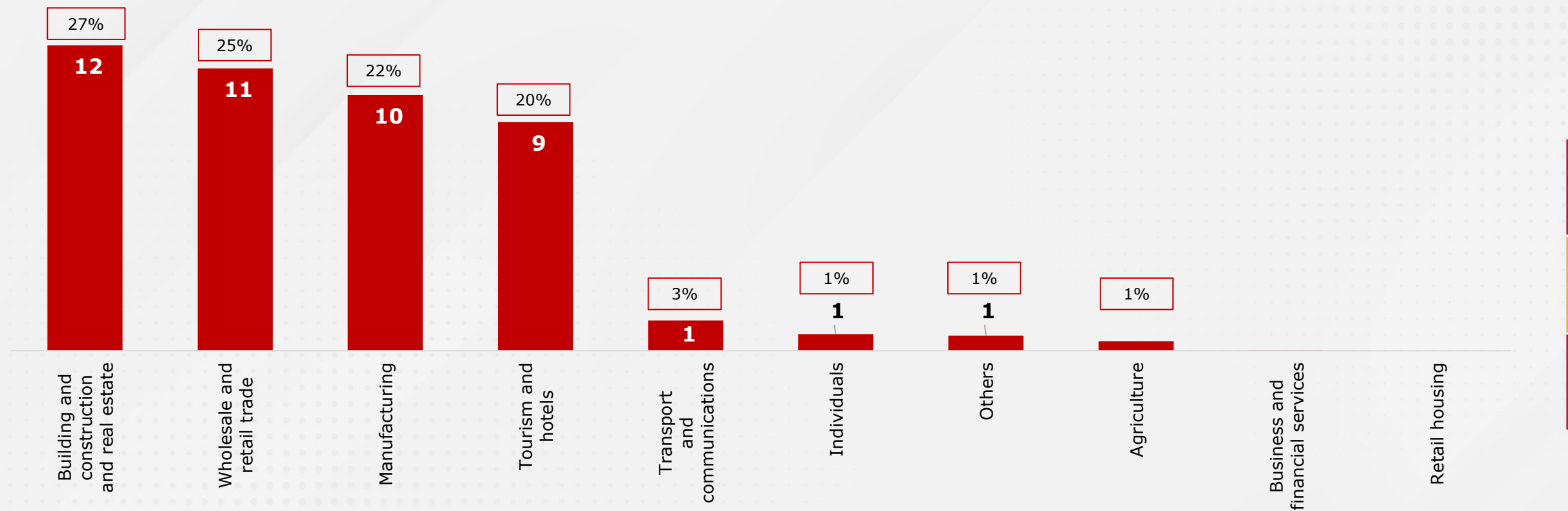
NPA ratio evolution (%)



Specific Provision/ NPA Coverage Ratio (%)



Group NPL distribution by sector (KShs billion)



FY'23 Performance (KES billion)

Income Statement	FY' 23	FY' 22	FY' 21	YOY 23/22
Net Interest Income	27.6	22.9	20.0	20.5%
Total Non- Interest Income	12.2	9.1	6.2	34.3%
Gross Operating Income	39.7	31.9	26.2	24.4%
Operating Expenses	20.5	14.9	12.3	37.5%
Operating Profit Before Provisions	19.3	16.7	14.2	15.9%
Loan Loss provision	10.3	7.1	7.6	44.5%
Profit before Taxation	9.0	9.5	6.6	-5.5%
Profit after Taxation	7.8	6.8	4.4	14.7%
Profit after tax less non-controlling interests	6.9	6.1	3.9	13.5%
Earning per share	24.60	21.68	13.98	13.5%
Key Indicators				
Fee Income Ratio	30.6%	28.3%	24.0%	(430bps)
Cost Income Ratio	51.7%	46.8%	47.0%	490bps
Cost of Risk	3.4%	2.6%	2.4%	80bps

Performance Highlights

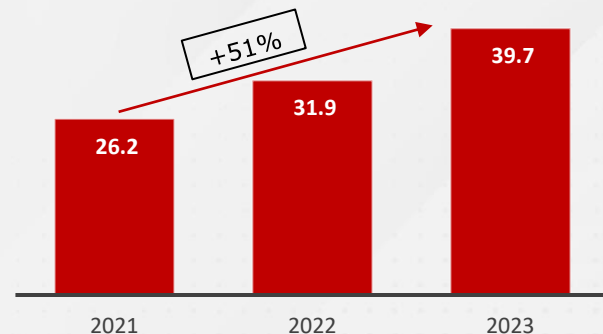
- Operating income grew by a 16% (KShs 2.6 billion) driven by:
 - Expansion in the loan book funded by the expanded low-cost (CASA) deposits during the year.
 - Improved yields on investments leading to widening NIMs.
- Growth in operating expenses reflects the significant investment made in digital platform, expanded branch footprint and talent to support the delivery of the business growth strategy.
- Drop in PBT reflects growth in loan provisions.
- **Cost of risk/Loan loss provision:**

Negatively impacted by:

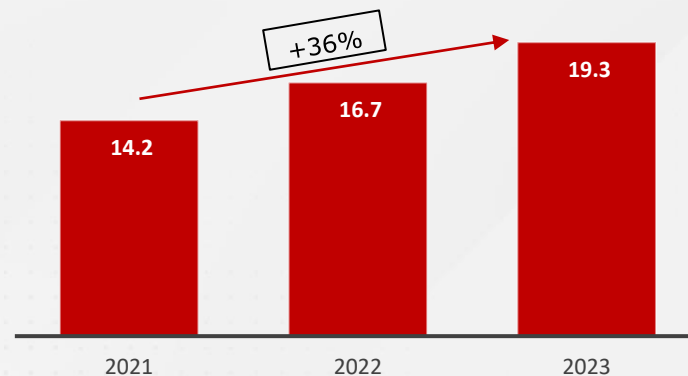
 - a) Prevailing high credit risk environment.
 - b) Translation impact of FCY NPL book following the depreciation of the Shilling.

The trend is anticipated to reverse in 2024 due to recoveries of existing impaired assets and improvement in business environment.

Total operating income (KShs Billion)

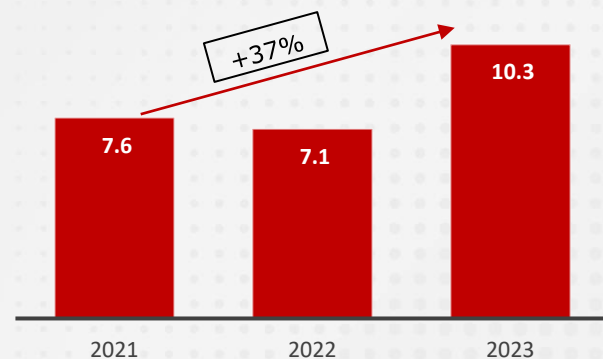


Profit before provisions

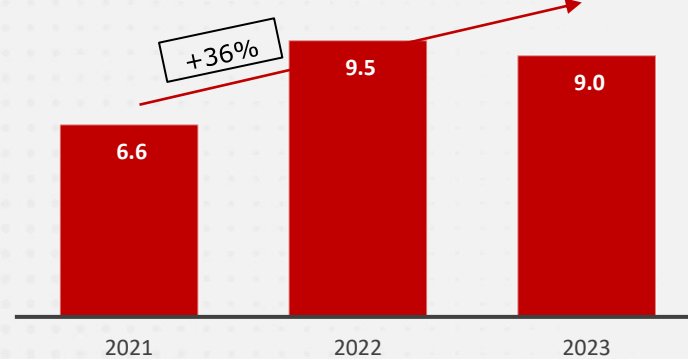


Key Indicators	2023	2022	2021	Growth
NIMs (%)	5.8%	5.4%	5.2%	40bps
Cost Income Ratio	51.7%	46.8%	47.0%	490bps
Cost of Risk	3.4%	2.6%	2.4%	80bps

Provisions (KShs billion)

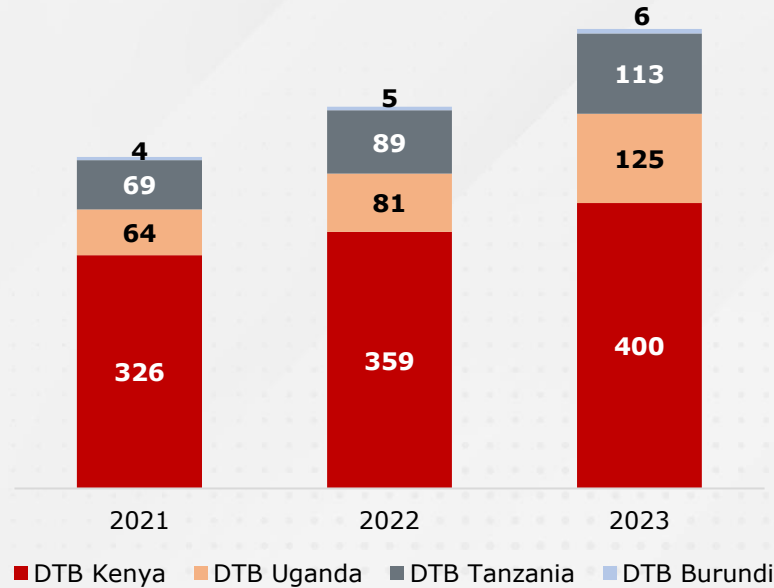


PBT (KShs billion)

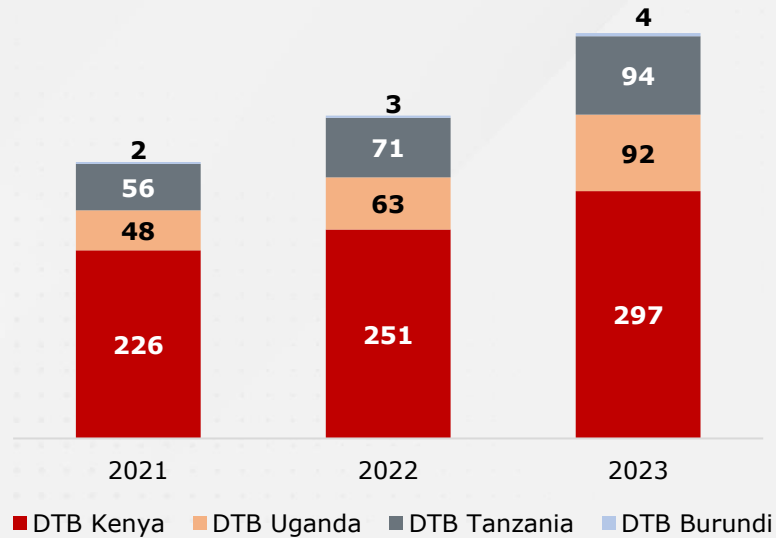


CONTRIBUTION OF SUBSIDIARIES TO THE BALANCE SHEET

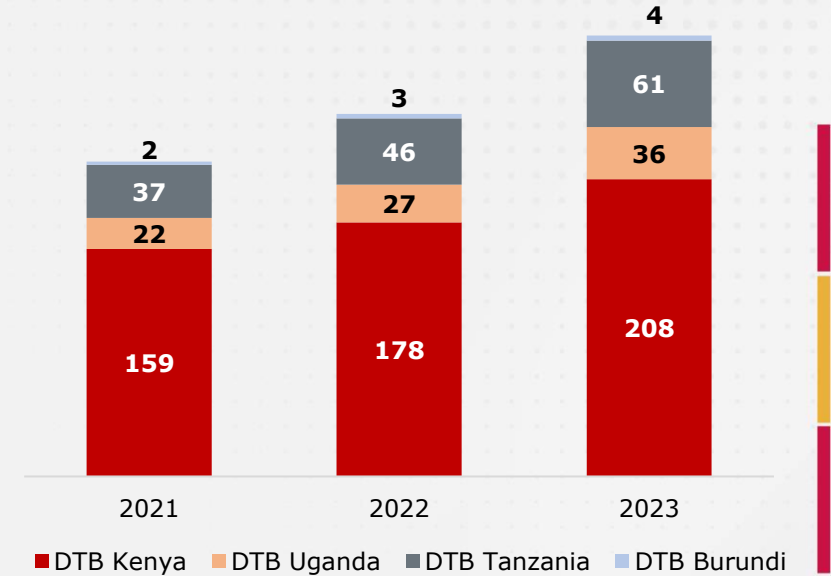
Total Assets (KShs billions)



Customer Deposits (KShs billions)



Net Loans & Advances (KShs billions)



Total Assets

	Percentage Contribution		
	2021	2022	2023
DTB Kenya	70%	67%	62%
DTB Uganda	14%	15%	19%
DTB Tanzania	15%	17%	18%
DTB Burundi	1%	1%	1%

Customer Deposits

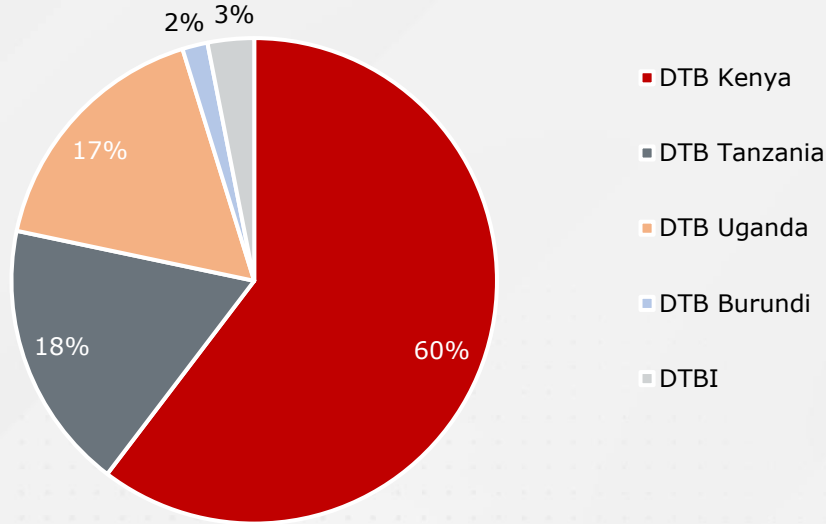
	Percentage Contribution		
	2021	2022	2023
DTB Kenya	68%	65%	61%
DTB Uganda	14%	16%	19%
DTB Tanzania	17%	18%	19%
DTB Burundi	1%	1%	1%

Net Loans & Advances

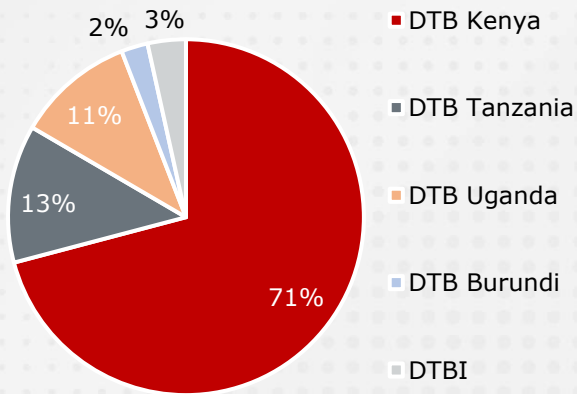
	Percentage Contribution		
	2021	2022	2023
DTB Kenya	72%	70%	67%
DTB Uganda	10%	11%	12%
DTB Tanzania	17%	18%	20%
DTB Burundi	1%	1%	1%

CONTRIBUTION OF SUBSIDIARIES TO GROUP PBT

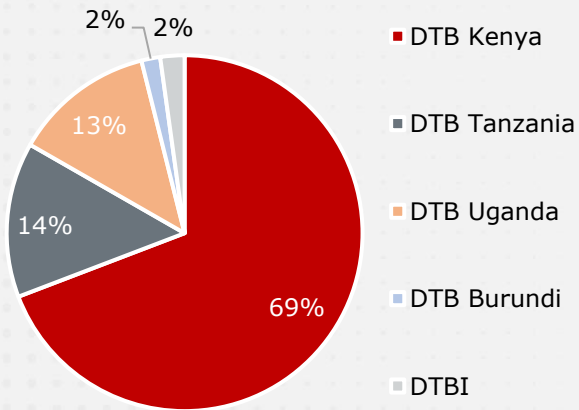
FY 2023



FY 2021



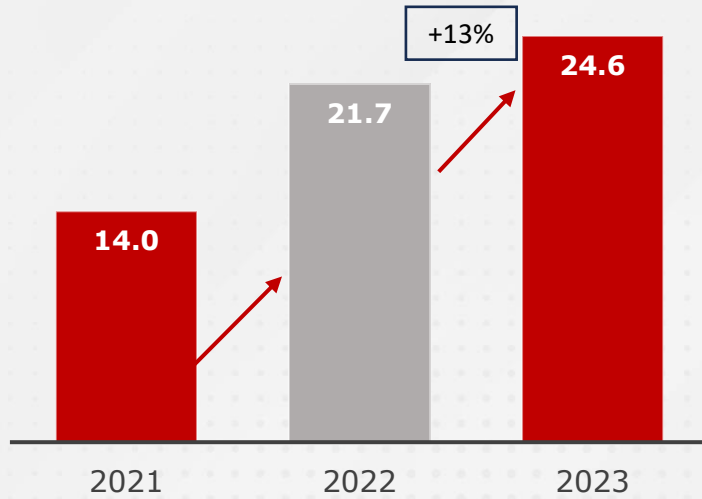
FY 2022



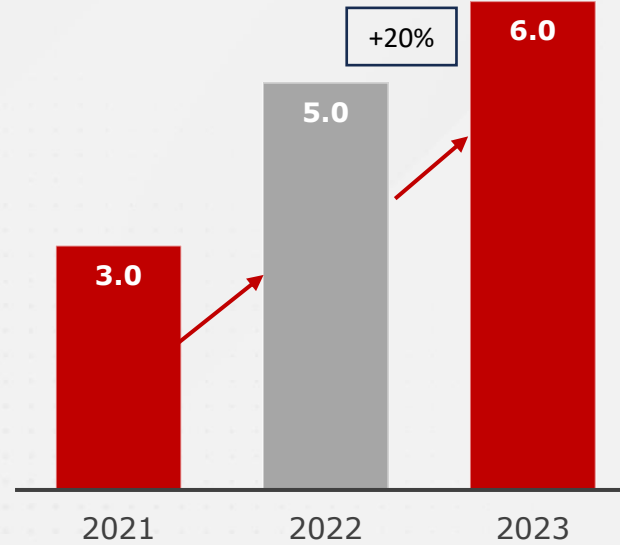
➤ Improved contribution of the subsidiaries –40% (2022-36%). The improvement demonstrates a growing resilience and diversity of the DTB subsidiaries across the region.

GROWING RETURNS TO SHAREHOLDERS

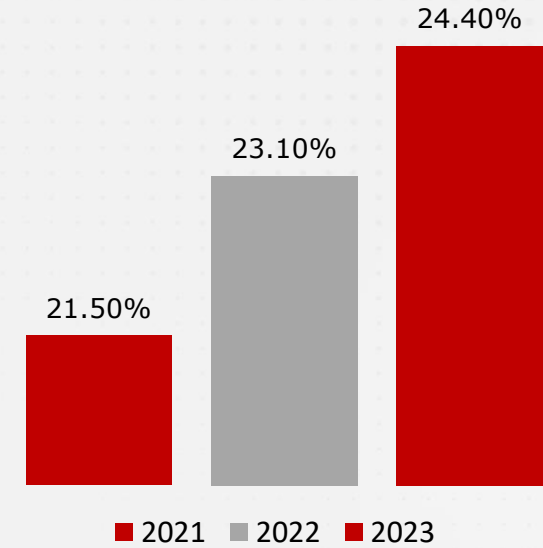
Earnings Per Share (KES)



Dividend Per Share (DPS)



Dividend Payout Ratio



- The board will recommend to shareholders a first and final dividend of KShs 6.0 Per ordinary Share representing a 20% growth over 2022.

- Enabling macroeconomic outlook to open new opportunities, reduce credit and market risks
- Further gains from the business growth strategy
- Leverage our competitive advantage to scale business in the traditional sectors and grow volumes in the new focus areas of Education, Agriculture and Technology.
- Accelerate digital transformation for growth and improved customer experience
- Scale WEZA, the digital lending platform to non-DTB customers
- Strengthen sustainability adoption across the group.

Potential Tailwinds

- ✓ Stronger economic activity – public & private sectors
- ✓ Lower inflation & interest rates
- ✓ Diminished FX volatility
- ✓ Stronger trade links within and outside Africa
- ✓ Increased investments in ESG

Potential Headwinds

- ❑ Prolonged geopolitical risks and the impact on energy markets, international trade and logistics
- ❑ Delayed interest rate cuts in advanced economies and subsequent USD strength
- ❑ Weather related shocks

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These statements, by their nature, involve risk and uncertainty as they relate to events and depend upon circumstances that may or may not occur in the future. Factors that could cause actual future results to differ materially from those in the forward looking statements include, but are not limited to, changes in (a) global and national economic conditions, (b) our operating environment, (c) future strategies as contained in our strategic priorities and plans, (d) interest and exchange rates, (e) credit conditions and the associated risks of lending, (f) actual cash collections, (g) gross and operating margins, (h) capital management, and (i) competitive and regulatory factors.

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The Financial results of the Group can be sourced from the link
<https://dtbk.dtbafrica.com/index.php/quarterly-financial-reports>



Bank with us. Bank on us.